those private markets will be stripped of much of the cash they need to run their businesses.'

The demonetization was a failure, and the Won plummeted 96 per cent against the US dollar in the ensuing days. Lifetime household savings and the working capital of many private trader entrepreneurs were completely destroyed.

Scott Snyder of the Asia Foundation commenting on the outcome said, 'As social opposition to these moves began to manifest itself, the government was forced to backtrack, offering compensatory wage increases, sometimes paying workers at the old wage rates in the new currency, amounting to a 100-fold increase in money income. The result was a complete disintegration of the market, as traders, intimidated by the changing rules of the game, withheld supply, reportedly forcing some citizens to resort to barter…'

The reopening of the markets was accompanied by a rare public apology. In a meeting with government officials and local village leaders, Premier Kim Jong-il is reported to have stated '…regarding the currency reform, I sincerely apologize as we pushed ahead with it without a sufficient preparation so that it caused a big pain to the people…' and that the government '…will do its best to stabilize people's lives.'

In January 2010, the director of the Planning and Finance Department of North Korea's ruling Workers' Party, Pak Nam-gi, allegedly responsible for the demonetization, was dismissed from his post, and was executed by a firing squad in March 2010. It was widely believed that he was made the scapegoat for the botched demonetization.

In December 2011, Kim Jong-il died and was succeeded by his son, Kim Jong-un.

Successful Demonetizations